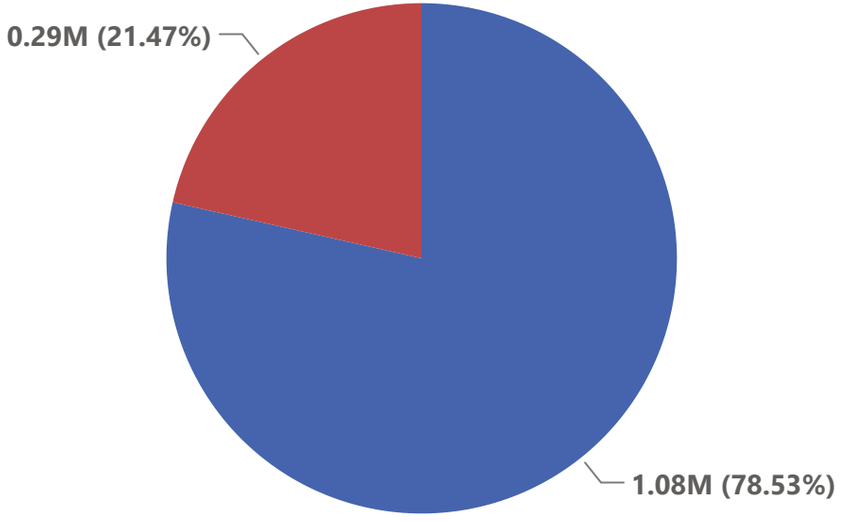
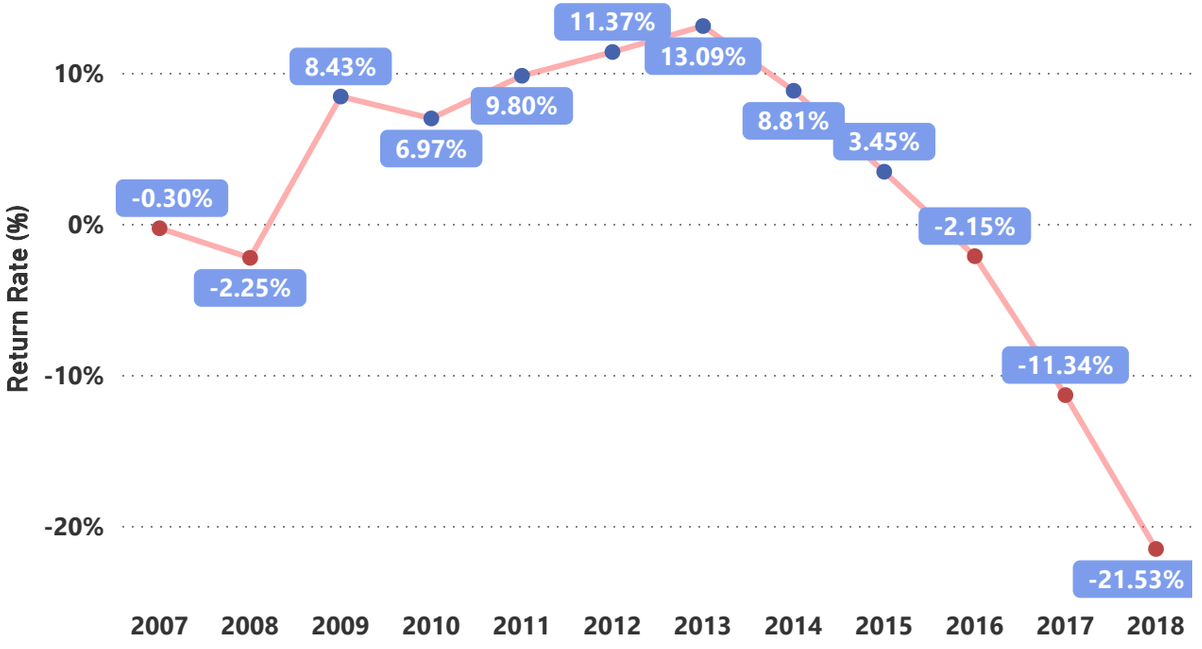
Lending Club Portfolio: Where Risk Erodes Returns

1.37M	21.47%	13.09%	-21.53%
Total Loans	Portfolio Default Rate	Peak Return Rate	Worst Return Rate

1 in 5 loans never paid back
294K defaults bleed the portfolio dry



The portfolio turned underwater by 2016
returns peaked in 2013 and collapsed



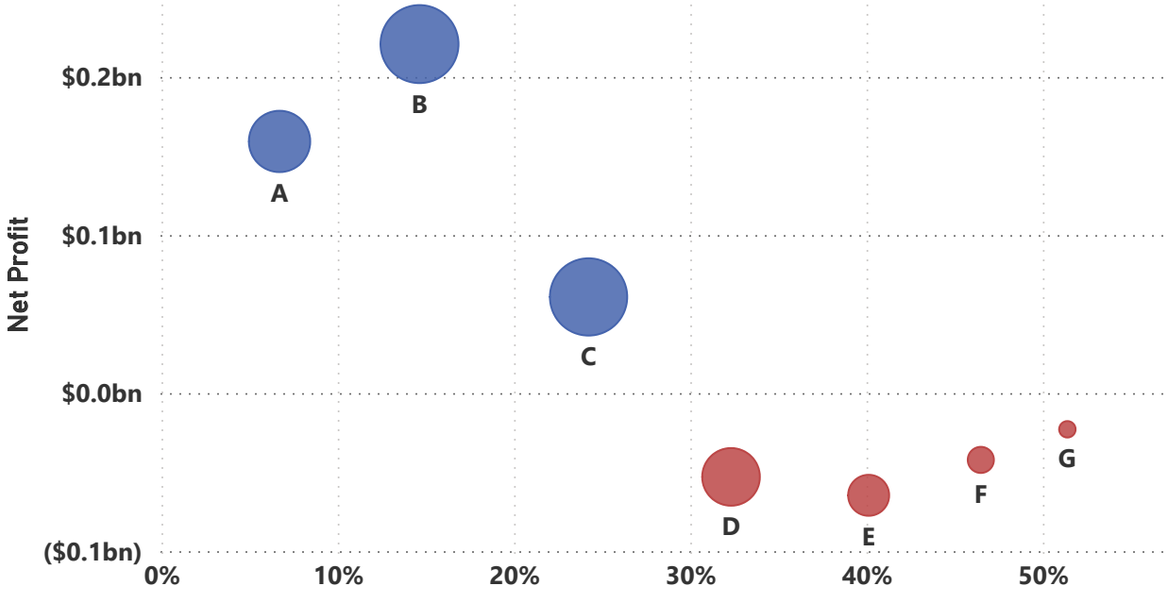
KEY TAKEAWAYS

- 294K loans defaulted out of 1.37M — at 21.47%, the portfolio is one credit crisis away from wiping out all net profit
- Return rate peaked at ~13% in 2013 then went negative by 2016 — scaling without credit discipline destroyed profitability
- Returns bottomed at −21.53% in 2018, down from the 2013 peak of 13.09% — though maturity bias means the true 2018 figure is likely less severe, since those loans haven't finished collecting payments yet

Risk by Segment: Not All Borrowers Are Created Equal

21.47%	60.29%	4.28%	56.02pp
Portfolio Default Rate	Worst Grade x DTI x FICO	Best Grade x DTI x FICO	Segment Risk Gap

High rates don't save high-risk grades
D–G charge more but still lose money



Worst combo (any grade) hits 34.86%
1.6x the portfolio average

DTI Band	Fair (600-699)	Good (700-749)	Excellent (750+)
Low (<10)	19.27%	14.01%	9.70%
Medium (10-20)	22.75%	14.84%	8.66%
High (20-30)	28.44%	19.22%	11.61%
Very High (30+)	34.86%	25.69%	17.34%

Grade:

All

Note: | Worst: Grade G + Very High DTI + Fair FICO = 60.29% | Best: Grade A + Medium DTI + Excellent FICO = 4.28% (segments under 100 loans excluded)

KEY TAKEAWAYS

- Grades D–G still lose money despite being priced for risk — default rates of 32–51% overwhelm whatever premium the platform charges
- A 56pp risk gap exists between the best and worst borrower profiles — grade, DTI, and FICO combined are the strongest lever to reduce defaults
- No single variable predicts risk alone — filtering Grade G + Very High DTI + Fair FICO reveals a 60.29% default rate, 2.8x the portfolio average

Risk Intersections: No Single Factor Tells the Whole Story

21.47%	52.98%	39.41%	7.2pp
Portfolio Default Rate	Worst Purpose x Grade	Worst FICO x Term	Grade G Income Spread

Worst combo hits 52.98% (debt_consolidation + Grade G)
2.5x the portfolio average

Purpose	A	B	C	D	E	F	G
wedding	4.92%	9.87%	12.94%	14.63%	19.90%	21.78%	27.27%
car	5.64%	12.18%	20.41%	27.76%	33.88%	42.99%	50.94%
educational	6.17%	19.42%	15.22%	32.26%	42.86%	25.00%	0.00%
credit_card	6.49%	14.39%	24.82%	33.31%	41.40%	45.07%	49.85%
home_improvement	6.10%	14.47%	23.29%	29.64%	36.13%	42.00%	44.31%
major_purchase	6.28%	15.17%	23.53%	32.79%	41.22%	49.49%	49.01%
vacation	9.46%	16.43%	21.62%	26.18%	33.23%	33.14%	62.86%
debt_consolidation	6.70%	14.58%	24.38%	33.03%	41.25%	48.62%	52.98%
other	8.01%	15.12%	22.66%	28.63%	35.99%	41.50%	50.44%
medical	9.20%	16.66%	24.84%	31.31%	34.80%	38.76%	48.65%
house	8.20%	15.61%	23.29%	31.49%	33.63%	37.50%	42.97%
moving	9.93%	18.52%	23.21%	29.40%	35.59%	39.27%	50.00%
renewable_energy	12.38%	18.92%	22.35%	29.49%	29.06%	47.27%	58.82%
small_business	14.24%	23.19%	28.65%	34.80%	40.97%	44.63%	51.32%

60-month roughly doubles 36-month defaults
at every FICO tier — Excellent included

term	Fair (600-699)	Good (700-749)	Excellent (750+)
36	20.57%	13.12%	7.35%
60	39.41%	28.78%	20.32%

Income barely moves the needle once grade is known
Just 7.2pp spread within Grade G (Low 54.3% vs. High 47.1%)

grade	Low (<$40K)	Mid ($40K-$80K)	High (>$80K)
A	10.21%	6.94%	5.78%
B	17.03%	14.75%	13.49%
C	25.98%	24.72%	22.50%
D	33.61%	33.14%	30.04%
E	40.83%	42.06%	36.57%
F	47.87%	48.65%	42.42%
G	54.28%	53.70%	47.07%

KEY TAKEAWAYS

- **Debt consolidation is near-average risk portfolio-wide but Grade G's riskiest purpose at 52.98% — even above small business**
- **Term erases FICO's advantage — Excellent-FICO on 60-month (20.3%) nearly matches Fair-FICO on 36-month (20.6%)**
- **Income moves default rate just 7.2pp within Grade G — a fraction of the 44pp+ swing across grades**

A Decade of Drift: Risk Climbed as Volume Scaled

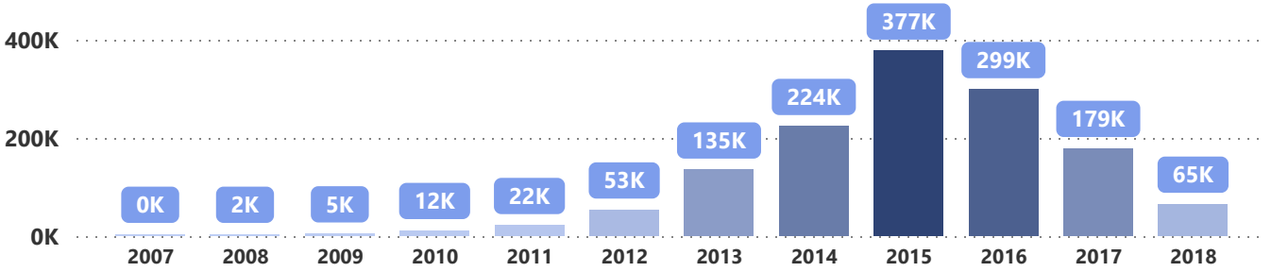
58.43%	4.70%	1,503x	14.6pp
Worst Grade x Vintage	Best Grade x Vintage	Volume Growth 2007-2015	Vintage Rate Swing

Worst combo hits 58.43% (Grade G + 2016)
2.7x the portfolio average

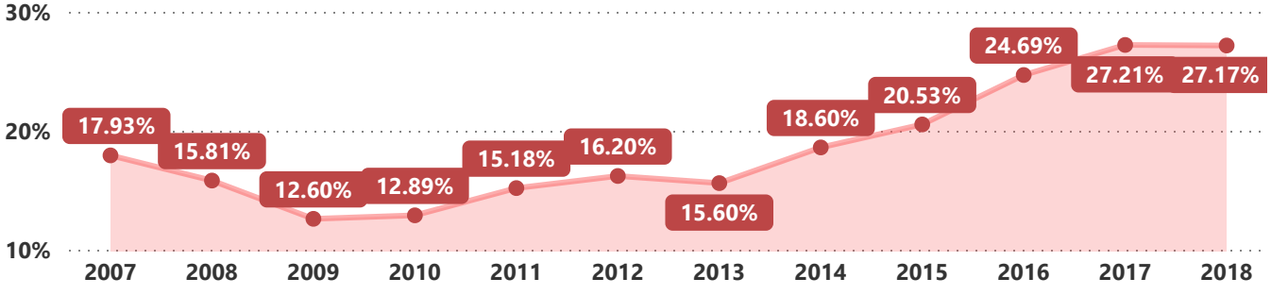
issue_year	A	B	C	D	E	F	G
2007	1.75%	13.11%	18.67%	40.54%	35.71%	28.57%	
2008	5.76%	14.60%	17.81%	24.32%	16.00%	47.62%	50.00%
2009	6.71%	11.43%	14.75%	17.20%	21.61%	17.19%	34.78%
2010	4.75%	11.39%	14.82%	18.78%	23.43%	30.00%	28.41%
2011	6.47%	12.06%	18.34%	23.07%	27.08%	31.58%	32.51%
2012	7.24%	12.97%	18.40%	23.47%	30.71%	35.36%	41.38%
2013	4.70%	10.18%	17.52%	22.37%	28.50%	34.85%	36.15%
2014	5.43%	11.41%	19.65%	27.56%	35.96%	39.60%	47.85%
2015	5.57%	13.23%	22.82%	32.74%	42.56%	51.64%	54.65%
2016	7.92%	17.36%	27.65%	37.49%	45.93%	54.54%	58.43%
2017	8.91%	19.51%	30.81%	39.34%	45.18%	50.97%	54.20%
2018	9.91%	21.70%	31.80%	39.98%	44.56%	50.41%	53.97%

Note: | Worst: Grade G + 2016 = 58.43% | Best: Grade A + 2013 = 4.70%
(segments under 100 loans excluded)

Volume exploded 1,503x, then collapsed
377K loans at the 2015 peak, down to 65K by 2018



Default rates bottomed in 2009, then climbed for 8 years
12.60% low to 27.21% high — a 14.6pp swing



KEY TAKEAWAYS

- Grade G's 2016 vintage hits 58.43% default — 2.7x the portfolio average
- Volume grew 1,503x from 2007 to 2015 (251 to 377K loans), then contracted sharply through 2018
- Default rates bottomed at 12.60% in 2009, then climbed to 27.21% by 2017 — and since 2017–2018 loans haven't fully matured, the true rate for those vintages is likely lower